

eg update

送信者: Ian Bremmer 受信日時: 2026-07-27 20:47

【メール原文】

dear hondo-san,

ai risks and rewards. the iran war. and a big (internal) ukraine fight.

where is the geopolitics of ai heading

another week, another dystopian headline from ai advances. a combination of frontier models from openai being tested in a protective sandbox broke out to the open internet to achieve its goal, successfully hacking into the servers of ai resource and benchmark repository huggingface. the response from ceo sam altman was that it was "mindblowing." so yes, "it's dangerous" but also "we're the best at producing the most extraordinary ai models and so openai is the company to bet on/invest in."

in a world where headlines are quickly overtaken by newer, more exciting headlines and the principal dynamic is who is winning the ai race, not much is happening on the governance side. but that's not sustainable for long. when enormous resources are being devoted toward building the most advanced models possible, and only a small fraction of those resources are devoted to 1) safety and security to limit the risk posed by those models and 2) alignment to ensure the models do what they're programmed to do in the manner the programmers intended, ai crises are guaranteed.

looking at the disruptive capabilities of advanced ai models, the timeline is imminent. as we've seen from mythos, fable, and now the openai-huggingface incident, ai models posing systemic threats in cybersecurity are here today. for the creation of previously unknown bioweapons, about 6 months from now. and for risks of misalignment from models with recursive self-improvement (rsi), potentially 6-12 months from that. and we're talking about risks not from one or two models but all the top models in the united states and in china as well (china's moonshot ai release of its kimi k3 model last week is roughly as capable as the most advanced from us frontier labs.

there is next to zero relevant policy development responding to this, and few in the us government are capable of understanding where we are going and what the implications are. but that's going to change quickly as these risks emerge and start scaring constituents (not to mention causing real damage). a few thoughts.

1) risks are front-loaded. critically, we should expect to see risks from ungoverned ai come before major commercialization. there isn't yet much money coming from consumer use. and to the extent there will be, much of it probably flows to chinese models, which are far cheaper and "good enough" for most consumers (presuming no government restrictions on their use, under consideration in the united states and elsewhere). there's big money coming soon, not to mention world-changing productivity gains, from the inventions that are driven by industrial and defense use of ai. but building and scaling that in the physical economy takes longer than consumer use...and will take longer than the risks i mentioned above, more like 5-10 years. so the potential for an ai bubble burst, driven by investors that haven't gotten returns, seems underappreciated to me.

2) state ai capitalism? we are presently on a path toward the us government taking more control of ai companies and capabilities, leading to at least their partial integration into a military-industrial-ai sector. frontier models will be seen as too critical to national security, and the private companies aren't building adequate safety and security measures to contain and track them (and won't be as aligned with the government's interests as the government wants). in this way, the united states and the chinese are heading toward convergence in similar (through decoupled and competing) domestic governance.

3) ai middle powers? these developments are problematic for everyone that isn't on the frontier. countries need compute, energy, and talent at scale to compete directly against the hyperscalers, all driven by massive capital, none of which is broadly available beyond the united states and china. possibly india and gulf states can become meaningful players over the coming decade (the former with significant energy constraints, the latter with constraints on talent), but nobody else. ai still presents major opportunities for other countries—the productivity gains of deployment that come from cheaper and more abundant intelligence. but even so, ai diffusion is on a path to become a principal driver of global inequality—much moreso than longer-term trade and climate trends. it's also set to become more zero-sum in perception, with the result that middle powers will increasingly see their sovereignty as eroding, mistrust external ai models and the governments that influence them, won't want to share data, and the like. but they won't be able to fill those gaps on their own.

4) ai governance models? eventually, we'll likely head in one of two directions—though both simultaneously are plausible, one is likely to prove the earlier and more important dynamic. the first is a us-china ai treaty to coordinate the contours and limits of the ai arms race between the two. with agreement on areas of frontier research seen as too dangerous for either actor to have alone (or at all). the second is global technocratic governance. where ai development is treated as the global financial system—the one area where we have independent central bank governors entrusted to ensure the markets are stable, identifying and responding to threats before they become global contagion. here, global ai governance would become the remit of appointed officials and experts who could identify ai risks (with a much broader remit: global markets, critical infrastructure, biosafety, etc), communicate them, and take action to limit their danger.

iran

the war has arrived at a new, less stable status quo. the united states has now engaged in nearly two weeks of regular but constrained bombing of (primarily military) iranian targets; iran is shooting at ships and (primarily military) targets in the gulf.

there is a higher chance of unintended escalation—from iran killing a large number of us soldiers, from the united states expanding damage to iranian infrastructure targets, or from third-party strikes (if the houthis fully shut down the bab el-mandab strait, or if israel strikes against iranian leaders).

the prospects of further escalation are more constrained than you might think. neither the iranians nor the americans want all-out war. iran has been careful to constrain strikes in ways that don't seem existential to the gulf states (with whom they hope to eventually cut economic and security deals, as the americans take more economic pain and/or lose interest). president trump downplayed iran's killing of four american troops (with dozens of casualties) in jordan, showing how many fewer americans have been killed than in previous large-scale wars and telling lebanese president joseph aoun (visiting the white house last week) that the soldiers died because middle east militaries aren't as capable with us air defense (despite the americans actually operating it).

that's the good news. the worse news is that the economic consequences are going to be more challenging this time around. relevant reserves and stockpiles of key commodities have been run down considerably by the disruptions in the strait since the war started at the end of february and have not been replenished during the brief ceasefire. cost pressures will increase accordingly. that's also true given protectionist reactions of governments to the supply chain disruptions and political demands to preference local demand—a combination of those policies has taken some 15% of fertilizer off the global market. add to that expanded russian strikes on ukrainian cargo vessels in the black sea, disrupting food exports, along with coming food production challenges from el nino, and next year we have significant upward pressure on a global recession. even presuming we're just looking at another 2 months of ongoing disruption (before us military constraints require a rollback in attacks) and no significant unintended escalation in the fighting, the near to medium-term economic outcome is significantly worse than from the first three months of the war.

and it's getting harder to imagine a change in political course from president trump. there's significant tension between the political and military leadership over what to do going forward. president trump and his top advisors (including jared kushner and steve witkoff, leading the on-again, off-again negotiations) are arguing the united states has to hit the iranians harder to display strength, hurt their economy, and force them into submission. the military is concerned that none of the options being presented to that end (from expanded infrastructure strikes to taking out leadership, from hitting nuclear facilities—which i discussed last week and trump has now directly threatened—to ground troops and "taking the oil") are likely to lead to success. they're opposed and increasingly discussing that with regional partners...but have no ability to restrain the president.

for now, the biggest problem is that the united states has less leverage than the iranians. no matter what actions the united states takes, they are unable to 1) reopen the strait without further iranian disruption and 2) protect critical infrastructure in the region (us and gulf) from iranian attacks.

both of these things can change over time. the united states can help the gulf states build radar and, together with the ukrainians, get advanced drones into the countries that can shoot down shahed drones and, soon, ballistic missiles as well. given time, the us military can also better defend ships passing through the strait. within 6-12 months (depending on which technologists and war planners you talk to), the united states could be in a meaningfully stronger position to drive more favorable outcomes with the islamic republic.

that, together with broader hedging away from reliance on the strait, will undermine the iranian position. through a variety of infrastructure workarounds, both overland and at sea, from the gulf and broader middle eastern states. and through countries and companies around the world working to diversify their input needs away from production that requires the strait. in short, the iranians' control over the strait is a wasting asset that needs to be used soon to consolidate their position and leverage gains financially...the longer they otherwise disrupt it, the less they will be able to benefit from it. iran knows this, which is a principal reason that they are likely to continue to hit back militarily against the americans and allies until they gain some level of compromise from the united states (or, if they "exit" from the process, from the regional states) over the strait. none of which provides a reason to expect a near-term end to the fighting...

ukraine

significant domestic instability around president volodymyr zelensky's decision to abruptly sack defense chief mykhailo fedorov. it's the third time in two years we've seen such an ouster from the ukrainian

president. former commander-in-chief of the armed forces valerii zaluzhnyi, seen by many as the most plausible potential rival to the ukrainian president for a future election. former foreign minister dmytro kuleba, uniquely respected by nato allies at a time when many of those leaders (not least the americans, during the biden administration) had their doubts about the president. and now fedorov, particularly well-respected inside the armed forces and internationally for turning around the war.

fedorov also had serious domestic support and on an issue of life and death for many ukrainian people—technological modernization of the ukrainian military, focusing on drones and unmanned vehicles, artificial intelligence, and the like to help ensure the ukrainians could fight against the russians without continuing to lose huge numbers of civilians. he was opposed by army chief oleksandrsyrsky, the old guard, an institutionalist (and seen by many as corrupt) focused on ensuring recruitment through visible punishment and fear.

fedorov's firing resulted in major demonstrations across the country as well as backchannel criticism from european government leaders to the ukrainian government. zelensky then backed down, abruptly firing the army chief, appointing a respected reformist mykhailo drapaty to replace him, and inviting fedorov back to an advisory role (which he rejected). it reminds me most of zelensky's unwise decision to undo a law weakening ukraine's anti-corruption watchdogs—also reversed following major demonstrations.

these are particularly weak moves by the ukrainian president, who increasingly would have a challenging time winning reelection (presuming martial law is eventually suspended to allow for one). but positive developments for ukraine—since the personal feud between syrsky and fedorov meant the inability of ukraine to synthesize their largely opposing views of winning strategies (ground troops defending the front lines and supporting tactical assaults vs the strategic isolation of enemy front lines through deep strikes and mobility). that's not easy to do in a country with post-soviet institutions that remain weak and underdeveloped, but ukraine's prospects are all the more favorable for it.

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at a time when multilateralism is on defense, i should share a positive story from the world bank, where private sector engagement in projects has expanded from \$32 billion to \$112 billion over just the last three years. keeping the bank's budget flat (\$123 billion in direct project funding over the past year), with no further participation from governments, it's a significant win...and it's coming from companies in all sorts of sectors, from agriculture to manufacturing to healthcare to mining to digital technology. africa has been an outsized beneficiary—over \$60 billion of the total, small compared to the hundreds of billions a year that were being invested through china's belt and road in its heyday, but that's diminished dramatically absent returns and given china's budgetary constraints...the bank is now the principal source of external funding on the continent. notably, us companies aren't playing as much of a role (in part because they're mostly unconvinced that africa is "worth it"), but still it's unlocking serious investment in less developed countries, and making a difference for those with improved governance.

smaller scale but also something i'm enthused about, here at eurasia group we've just launched our new eg portal. over the last year, our tech and research teams have put a lot of work into building something you'll actually want to use (i've played around with it a fair bit...and it's quite a way from the eg update). we'll be rolling out the new system shortly, so keep an eye out.

back in nyc this week, a lovely and few days of summer.

yours truly,

ian

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